waterfall, and that a CLO's quarterly reports include the calculation of the amounts to be distributed or paid in accordance with the waterfall on the payment date.[1248]

While the Commission believes that many advisers currently select from these varying standardized industry methods to prepare and present performance information, the difficulty in measuring and reporting returns on a basis comparable with respect to risk, coupled with the potentially high fees and expenses associated with these funds, can present investors with difficulty in monitoring and selecting their investments. Specifically, without disclosure of detailed performance measures and accounting for the impact of risk, debt, the varying impact of realized and unrealized gains, performances across funds can be highly overstated or otherwise manipulated, and so impossible to compare.[1249]

4. Fund Audits, Fairness Opinions, and Valuation Opinions

Currently under the custody rule, private fund advisers may obtain financial statement audits as an alternative to the requirement of the rule that an RIA with custody of client assets obtain an annual surprise examination from an independent public accountant.[1250] Advisers of funds that obtain these audits, regardless of the type of fund, are thus able to provide fund investors with reasonable assurances of the accuracy and completeness of the fund's financial

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1248 *Id.*

1249 *See, e.g.*, Phalippou et al., *supra* footnote 1225; Cembalest, *supra* footnote 1200.

1250 *See supra* section II.C; rule 206(4)-2(b)(4). We note that the staff has stated that, in order to meet the requirements of rule 206(4)-2(b)(4), these financial statements must be prepared in accordance with U.S. GAAP or, for certain non-U.S. funds and non-U.S. advisers, prepared in accordance with other standards, so long as they contain information substantially similar to statements prepared in accordance with U.S. GAAP, with material differences reconciled. *See* SEC, *Staff Responses to Questions About the Custody Rule*, *available at* https://www.sec.gov/divisions/investment/custody_faq_030510.htm.

statements and, specifically, that the financial statements are free from material misstatements.[1251]

Also under the custody rule, an adviser's choice for a fund to obtain an external financial statement audit (in lieu of a surprise examination) may depend on the benefit of the audit from the adviser's perspective, including the benefit of any assurances that an audit might provide investors about the reliability of the financial statement. The adviser's choice also may depend on the cost of the audit, including fees and expenses.

Based on Form ADV data and as shown below, approximately 90% of the total number of hedge funds and private equity funds that are advised by RIAs currently undergo a financial statement audit, by a PCAOB-registered independent public accountant that is subject to regular inspection.[1252] Other types of private funds advised by RIAs undergo financial statement audits with similarly high frequency, with the exception of SAFs, of which fewer than 20% are audited according to the recent ADV data.

Figure 3:

1251 *See, e.g.*, PCAOB, *AS 2301: The Auditor's Responses to the Risks of Material Misstatement*, *available at* https://pcaobus.org/oversight/standards/auditing-standards/details/AS2301; AICPA, *AU-C Section 240: Consideration of Fraud in a Financial Statement Audit* (2021), *available at* https://us.aicpa.org/content/dam/aicpa/research/standards/auditattest/downloadabledocuments/au-c-00240.pdf.

1252 Rule 206(4)-2(a)(4) requires that an adviser that is registered or required to be registered under Section 203 of the Act with custody of client assets to obtain an annual surprise examination from an independent public accountant. An adviser to a pooled investment vehicle that is subject to an annual financial statement audit by a PCAOB-registered independent public accountant that is subject to regular inspection is not, however, required to obtain an annual surprise examination if the vehicle distributes the audited financial statements prepared in accordance with generally accepted accounting principles to the pool's investors within 120 days of the end of its fiscal year. *See* rule 206(4)-2(b)(4). One commenter stated that the Proposing Release's analysis of audit frequencies did not limit analysis of current audit rates to PCAOB-registered and –inspected auditors. We agree, and also note that the Proposing Release did not limit its analysis to audits of financial statements prepared in accordance with U.S. GAAP. The analysis here is limited to PCAOB-registered and –inspected independent auditors conducting audits of financial statements prepared in accordance with U.S. GAAP, and we still find that approximately 90% of funds undergo such an audit. *See* AIMA/ACC Comment Letter.

Fund Type	Total Funds	Unaudited Funds	Unaudited Pct.	Audited Pct.
Hedge Fund	12,442	1,188	9.6%	90.4%
Liquidity Fund	88	28	31.8%	68.2%
Other Private Fund	6,201	1,282	20.7%	79.3%
Private Equity Fund	22,709	2,110	9.3%	90.7%
Real Estate Fund	4,717	756	16%	84.0%
Securitized Asset Fund	2,554	2,319	90.8%	9.20%
Venture Capital Fund	2,558	498	16.3%	83.7%
Unique Totals	51,767	8,181	15.8%	84.2%

Source: Form ADV, Schedule D, Section 7.B.(1) filed between Oct. 1, 2021, and Sept. 30, 2022.

These audits, while currently valuable to investors, do not obviate the issues with fee, expense, and performance reporting discussed above.[1253] First, as shown in Figure 3 above, not all funds advised by RIAs currently undergo annual financial statement audits from a PCAOB-registered and -inspected auditor. Second, statements regarding fees, expenses, and performance tend to be more frequent, and thus more timely, than audited annual financial statements. Third, there currently exists a discrepancy in reporting requirements to the Commission between surprise examinations and audits: Problems identified during a surprise exam must currently be reported to the Commission under the custody rule, but problems identified during an audit, even if the audit is serving as the replacement for the surprise examination under the custody rule, do not need to be reported to the Commission.[1254] Lastly, more frequent fee, expense, and performance disclosures can include incremental and more granular information that would be useful to investors and that would not typically be included in an annual financial statement.[1255]

1253 *See supra* section VI.C.3.

1254 *See* 17 CFR 275; rule 206(4)-2. However, the proposal of a new rule to address how investment advisers safeguard client assets considered closing this discrepancy. *See* Safeguarding Release, *supra* footnote 467.

1255 For example, annual financial statements may not include both gross and net IRRs and MOICs, separately for realized and unrealized investments, and with and without the impact of fund-level subscription facilities. Annual financial statements may also vary in the level of detail provided for portfolio investment-level compensation. *See, e.g.*, *Illustrative Financial Statements: Private Equity Funds*, KPMG (Nov. 2020), *available at* https://audit.kpmg.us/articles/2020/illustrative-financial-statements-2020.html;

Funds of different sizes do vary in their propensity to get audits, but audits are common for funds of all sizes. Figures 4A and 4B below show that for funds of size <$2 million, excluding securitized asset funds, approximately 4800 out of approximately 6100 funds already get an audit from a PCAOB-registered and -inspected independent auditor, or approximately 76%. For funds of size $2 million to $10 million, this percentage is approximately 82%. This percentage generally increases as funds get larger, such that for funds of size >$500 million, approximately 6400 out of approximately 7000 funds already get an audit from a PCAOB-registered and -inspected independent auditor, or approximately 91%. However, of course, because larger funds have more assets, these larger funds still represent a large volume of unaudited assets. Funds of size <$10 million have approximately $7.1 billion in assets not audited by a PCAOB registered and inspected independent auditor, while funds of size >$500 million have approximately $1.9 trillion in assets not audited by a PCAOB-registered and -inspected independent auditor.[1256]

Funds also vary by their fund type in their propensity to get audits. Many commenters stated that CLOs and other asset-backed securitization vehicles generally do not get such audits, in particular because audited financial statements prepared under U.S. GAAP may not be as useful for investors with debt interests in cash flow vehicles such as CLOs and other such vehicles who are primarily focused on the underlying cash flows of the fund.[1257] CLOs are generally captured in Form ADV data under "securitized asset funds." The low rates of audits

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Illustrative Financial Statements: Hedge Funds, KPMG (Nov. 2020), *available at* https://audit.kpmg.us/articles/2020/illustrative-financial-statements-2020.html.

[1256] Based on staff analysis of Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1, 2017 and Sept. 30, 2022.

[1257] *See, e.g.*, Canaras Comment Letter; TIAA Comment Letter; SFA Comment Letter I; SFA Comment Letter II; LSTA Comment Letter.

for securitized asset funds, as seen in Figure 3 above and Figure 4B below, is therefore likely driven by the low propensity for CLO funds and other SAFs to get audits, consistent with commenters' statements. Some commenters further stated that CLOs and other such funds are more likely to engage independent accounting firms to perform "agreed upon procedures" on quarterly reports.[1258] These procedures are often related to the securitized asset fund's cash flows and the calculations relating to a securitized asset fund portfolio's compliance with the portfolio requirements and quality tests (such as overcollateralization, diversification, interest coverage, and other tests) set forth in the fund's securitization transaction agreements.[1259] The agreed-upon-procedures report details the results of procedures performed that provide the user of the report with information regarding these complex cash allocations and distributions, whereas a financial statement audit focuses on potential investor harm regarding whether or not the financial statements are presented fairly in accordance with applicable accounting framework.[1260]

1258 *See, e.g.*, Canaras Comment Letter; LSTA Comment Letter; SFA Comment Letter I; SFA Comment Letter II. As discussed above, one commenter stated that GAAP's efforts to assign, through accruals, a period to a given expense or income may not be useful, and potentially confusing, for SAF investors because principal, interest, and expenses of administration of assets can only be paid from cash received. We note that vehicles that issue asset-backed securities are specifically excluded from other Commission rules that require issuers to provide audited GAAP financial statements, and we have stated that GAAP financial information generally does not provide useful information to investors in asset-backed securitization vehicles. *See supra* section II.A; *see also* SFA Comment Letter I; SFA Comment Letter II.

1259 *Id.*, *see also supra* sections II.C, VI.C.1.

1260 *Id.*

Figure 4A:

Funds that Currently Get an Audit from a PCAOB-Registered, -Inspected, and Independent Auditor						All Funds				
	2018	2019	2020	2021	2022	2018	2019	2020	2021	2022
$0 - $2mil funds										
Hedge Fund	946	795	800	814	845	1,117	961	1,003	1,004	1,040
Liquidity Fund	2	1	4	3	1	7	5	7	7	4
Other Private Fund	413	388	468	433	541	613	559	648	621	740
Private Equity Fund	1,910	1,928	2,028	2,152	2,562	2,365	2,325	2,460	2,602	3,080
Real Estate Fund	388	443	395	413	482	547	597	581	690	770
Venture Capital Fund	139	156	178	211	348	184	215	249	393	501
Total (for size range, excluding securitized asset funds):	3,798	3,711	3,873	4,026	4,779	4,833	4,662	4,948	5,317	6,135
$2mil - $10mil funds										
Hedge Fund	872	921	852	851	880	991	1,029	985	982	1,021
Liquidity Fund	5	5	3	2	3	5	5	4	2	3
Other Private Fund	418	467	477	513	606	546	600	623	693	786
Private Equity Fund	1,863	2,007	2,156	2,385	2,741	2,133	2,278	2,512	2,807	3,231
Real Estate Fund	439	438	514	569	655	572	606	640	745	851
Venture Capital Fund	175	190	243	286	501	222	249	317	402	650
Total (for size range, excluding securitized asset funds):	3,772	4,028	4,245	4,606	5,386	4,469	4,767	5,081	5,631	6,542
$10mil - $500mil funds										
Hedge Fund	6,603	6,720	6,641	6,761	6,965	7,203	7,335	7,235	7,380	7,581
Liquidity Fund	18	26	20	29	33	27	36	31	41	46
Other Private Fund	2,349	2,458	2,617	2,893	3,229	2,882	2,984	3,249	3,618	3,949
Private Equity Fund	7,909	8,789	9,652	10,704	12,691	8,480	9,412	10,337	11,493	13,669
Real Estate Fund	1,726	1,902	2,049	2,197	2,419	2,000	2,170	2,288	2,425	2,651
Venture Capital Fund	530	644	751	941	1,486	572	708	836	1,074	1,665
Total (for size range, excluding securitized asset funds):	19,135	20,539	21,730	23,525	26,823	21,164	22,645	23,976	26,031	29,561
>$500mil funds										
Hedge Fund	2,133	2,093	2,178	2,356	2,564	2,289	2,246	2,360	2,594	2,800
Liquidity Fund	23	24	29	28	23	35	36	39	41	35
Other Private Fund	428	419	464	505	543	599	576	619	674	726
Private Equity Fund	1,139	1,364	1,581	1,963	2,605	1,192	1,423	1,653	2,059	2,729
Real Estate Fund	227	256	299	325	405	247	279	327	354	445
Venture Capital Fund	44	67	86	136	223	50	73	96	148	240
Total (for size range, excluding securitized asset funds):	3,994	4,223	4,637	5,313	6,363	4,412	4,633	5,094	5,870	6,975
Total: ALL	30,699	32,501	34,485	37,470	43,351	34,878	36,707	39,099	42,849	49,213

Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1st, 2017, and Sept. 30th, 2022.

The Growth in the Total Number of Audits from a PCAOB-Registered and -Inspected Independent Auditor

	2019	2020	2021	2022
$0 - $2mil funds				
Hedge Fund	-151	5	14	31
Liquidity Fund	-1	3	-1	-2
Other Private Fund	-25	80	-35	108
Private Equity Fund	18	100	124	410
Real Estate Fund	55	-48	18	69
Venture Capital Fund	17	22	33	137
Total (for size range, excluding securitized asset funds):	-87	162	153	753
$2mil - $10mil funds				
Hedge Fund	49	-69	-1	29
Liquidity Fund	0	-2	-1	1
Other Private Fund	49	10	36	93
Private Equity Fund	144	149	229	356
Real Estate Fund	-1	76	55	86
Venture Capital Fund	15	53	43	215
Total (for size range, excluding securitized asset funds):	256	217	361	780
$10mil - $500mil funds				
Hedge Fund	117	-79	120	204
Liquidity Fund	8	-6	9	4
Other Private Fund	109	159	276	336
Private Equity Fund	880	863	1,052	1,987
Real Estate Fund	176	147	148	222
Venture Capital Fund	114	107	190	545
Total (for size range, excluding securitized asset funds):	1,404	1,191	1,795	3,298
>$500mil funds				
Hedge Fund	-40	85	178	208
Liquidity Fund	1	5	-1	-5
Other Private Fund	-9	45	41	38
Private Equity Fund	225	217	382	642
Real Estate Fund	29	43	26	80
Venture Capital Fund	23	19	50	87
Total (for size range, excluding securitized asset funds):	229	414	676	1,050
Total: ALL	1,802	1,984	2,985	5,881

Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1st, 2017, and Sept. 30th, 2022.

Figure 4B:

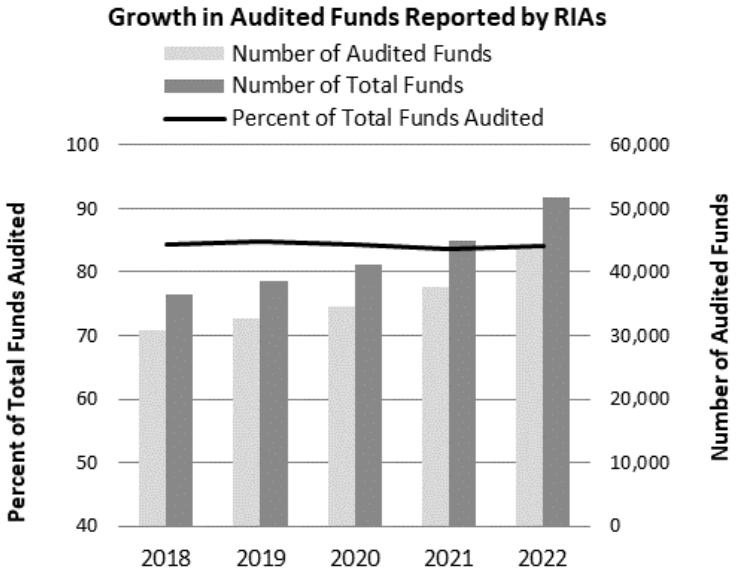
	Funds that Currently Get an Audit from a PCAOB-Registered, -Inspected, and Independent Auditor					All Funds				
	2018	2019	2020	2021	2022	2018	2019	2020	2021	2022
$0 - $2mil funds										
Securitized Asset Fund	25	18	19	18	25	302	256	230	180	232
Total (for size range, including securitized assets):	3,823	3,729	3,892	4,044	4,804	5,135	4,918	5,178	5,497	6,367
$2mil - $10mil funds										
Securitized Asset Fund	12	17	15	23	18	93	95	69	73	92
Total (for size range, including securitized assets):	3,784	4,045	4,260	4,629	5,404	4,562	4,862	5,150	5,704	6,634
$10mil - $500mil funds										
Securitized Asset Fund	90	120	129	142	147	793	948	1,121	1,383	1,494
Total (for size range, including securitized assets):	19,225	20,659	21,859	23,667	26,970	21,957	23,593	25,097	27,414	31,055
>$500mil funds										
Securitized Asset Fund	27	33	34	35	45	482	514	558	556	736
Total (for size range, including securitized assets):	4,021	4,256	4,671	5,348	6,408	4,894	5,147	5,652	6,426	7,711
Total: ALL	30,853	32,689	34,682	37,688	43,586	36,548	38,520	41,077	45,041	51,767

Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1st, 2017, and Sept. 30th, 2022.

	The Growth in the Total Number of Audits from a PCAOB-Registered and -Inspected Independent Auditor			
	2019	2020	2021	2022
$0 - $2mil funds				
Securitized Asset Fund	-7	1	-1	7
Total (for size range, including securitzed asset funds):	-94	163	152	760
$2mil - $10mil funds				
Securitized Asset Fund	5	-2	8	-5
Total (for size range, including securitzed asset funds):	261	215	369	775
$10mil - $500mil funds				
Securitized Asset Fund	30	9	13	5
Total (for size range, including securitzed asset funds):	1,434	1,200	1,808	3,303
>$500mil funds				
Securitized Asset Fund	6	1	1	10
Total (for size range, including securitzed asset funds):	235	415	677	1,060
Total: ALL	1,836	1,993	3,006	5,898

Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1st, 2017, and Sept. 30th, 2022.

Figure 5:



Source: Form ADV Schedule D, Section 7.B.(1) data filed between Oct. 1, 2017, and Sept. 30, 2022.

Figures 4A, 4B, and 5 also show that fund audits have also grown over time at a rate approximately consistent with the growth of the rest of private funds. Figure 5 shows that the average percentage of audited funds, across all fund sizes, has remained high at approximately 85% for the last five years. An implication of this fact is that the number of audits being added to the industry each year is not substantially larger than the number of outstanding funds not receiving audits: Figure 4B shows that approximately 8,100 funds did not get audits in 2022 from PCAOB-registered and -inspected independent auditors. Figure 4A shows that, excluding securitized asset funds, approximately 5,800 funds did not get audits in 2022 from PCAOB-registered and -inspected independent auditors. There was growth in the number of audits from

PCAOB-registered and -inspected independent private fund auditors of approximately 2,000 in 2020, approximately 3,000 in 2021, and approximately 6,000 in 2022.[1261]

As a final matter, several commenters state that certain funds get an audit from a Big Four firm because of their investors' demands, but none of the Big Four firms would meet the independence requirement under the proposed rules.[1262] These funds get an audit from a non-independent auditor, often in response to client demands for an audit, and then undergo an additional surprise exam from a PCAOB-registered and -inspected independent auditor. Another commenter stated that some funds are currently unable to get an audit from a PCAOB-registered and –inspected independent auditor, because there is a shortage of audit firms meeting those criteria for many advisers.[1263]

1261 *Id*. We discuss the implications of these facts for the final mandatory audit requirement below. *See infra* section VI.D.5.

1262 LaSalle Comment Letter; PWC Comment Letter.

1263 CFA Comment Letter I.